# BUSINESS MANAGEMENT AND ENTERPRISE

# STAGE 3 DRAFT SAMPLE EXAMINATION

Section 7 of the *New WACE Manual: General Information 2008 Revised* outlines the policy on WACE examinations.

Further information about the WACE Examinations policy can be accessed from the Curriculum Council website at http://www.curriculum.wa.edu.au.

The purpose for providing a sample examination is to provide teachers with an example of how the course will be examined. Further finetuning will be made to this sample in 2008 by the examination panel following consultation with teachers, measurement specialists and advice from the Assessment, Review and Moderation (ARM) panel.

2008/17060[v3]

**Western Australian Certificate of Education, Draft Sample External Examination**
**Question/Answer Booklet**

# BUSINESS MANAGEMENT AND ENTERPRISE
**WRITTEN PAPER**
**STAGE 3**

Please place your student identification label in this box

Student Number: In figures

In words

### *Time allowed for this paper*
Reading/planning time before commencing work: Ten minutes
Working time for paper: Three hours

### *Material required/recommended for this paper*
**To be provided by the supervisor**
This Question/Answer Booklet
Business Information Booklet

**To be provided by the candidate**
Standard items: Pens, pencils, eraser or correction fluid, highlighter, ruler
Special items: Calculators satisfying the conditions set by the Curriculum Council for this subject

### *Important note to candidates*
No other items may be taken into the examination room. It is **your** responsibility to ensure that you do not have any unauthorised notes or other items of a non-personal nature in the examination room. If you have any unauthorised material with you, hand it to the supervisor **before** reading any further.

## *Structure of this paper*

| Section | Suggested working time | Number of questions available | Number of questions to be attempted | Marks | Weighting |
|---|---|---|---|---|---|
| SECTION ONE | 100 minutes | 7 | 7 | 70 | 58% |
| SECTION TWO | 80 minutes | 3 | 2 | 55 | 42% |
| | | | Total | 125 | 100% |

## *Instructions to candidates*

1. The rules for the conduct of Curriculum Council examinations are detailed in the Student Information Handbook. Sitting this examination implies that you agree to abide by these rules.

2. Answer all questions by writing your answers in this booklet in the spaces provided.

## SECTION ONE—SHORT RESPONSE *[70 marks]*

This section has **SEVEN (7)** questions. Attempt **ALL** questions in this section.

Suggested working time: 100 minutes

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**Question 1**

A business supplies the following figures about its activities:

| | |
|---|---|
| *Forecast output (sales)* | *20,000 units* |
| *Selling price* | *$50 per unit* |
| *Fixed costs* | *$300,000* |
| *Variable cost* | *$20 per unit* |

**(a)** Illustrate by means of a break-even chart

- **(i)** the break-even point;
- **(ii)** the profit at forecast output; and
- **(iii)** the margin of safety at forecast output.

*[5 marks]*

**(b)** Explain the concept of a break-even point and the effect on the break-even point if variable costs increased to $25 per unit. Illustrate your answer on a break-even chart.

*[5 marks]*

**Question 2**
You are a consultant for a fruit juice company which has difficulty finding a reliable supply of fruit. The fruit juice company would like to improve its supply chain management and is considering the acquisition of Juicy Fruit Orchards for the provision of source materials. Juicy Fruit Orchards is a family-run business.

The following information was extracted from the records of Juicy Fruit Orchards:

| **Balance sheet as at June 30, 2007** | | |
|---|---|---|
| | **2006** | **2007** |
| Current assets | 30 000 | 35 000 |
| Non-current assets | 600 000 | 750 000 |
| | 630 000 | 785 000 |
| Current liabilities | 22 000 | 34 000 |
| Non-current liabilities | 500 000 | 650 000 |
| | 522 000 | 684 000 |
| **Net assets** | **108 000** | **101 000** |
| | | |
| Capital | 100 000 | 100 000 |
| Net profit | 38 000 | 35 000 |
| Less drawings | 30 000 | 34 000 |
| **Net equity** | **108 000** | **101 000** |

Additional information:

| | 2006 | 2007 |
|---|---|---|
| Revenue | 138 000 | 155 000 |
| Expenses | 100 000 | 120 000 |

Industry averages:

| | |
|---|---|
| Current ratio | 1.6 : 1 |
| Debt to equity | 140% |
| Net profit ratio | 5% |
| Expense ratio | 18% |

**(a)** Would Juicy Fruit Orchards be a sound investment? Use the information provided on the opposite page to justify your answer.

*[8 marks]*

**(b)** Should the existing management be kept in place if the business is acquired? Justify your answer.

*[2 marks]*

**Question 3**
Matilda's Meat Pies manufactures and markets its gourmet meat pies in Australia. It is considering building another manufacturing plant in south-east Asia to develop a new market. The construction of the new factory would be financed through overseas borrowing.

**(a)** Outline **two** socio-cultural factors of the south-east Asian market that Matilda's Meat Pies should take into account.

*[2 marks]*

**(b)** Outline **two** other areas of market research (other than socio-cultural) that should be undertaken prior to entering the new market.

*[2 marks]*

**(c)** Explain the impact of **one** global financial influence that Matilda's management needs to consider when deciding the viability of the proposed expansion.

*[2 marks]*

**(d)** Outline two potential legal complications Matilda's management should consider before locating operations off-shore.

*[2 marks]*

SEE NEXT PAGE

**(e)** Explain how technology could facilitate the quality control system for the new operations off-shore.

*[2 marks]*

**Question 4**

Over the past year JJ Iron and Steel Ltd has experienced a large increase in the number of industrial accidents related to handling and storage of dangerous materials.

**(a)** Outline **two** procedures that the operations manager could implement to improve the storage and handling of dangerous materials.

*[4 marks]*

**(b)** Explain the elements of an operations management system. Use an example to illustrate your answer.

*[6 marks]*

**Question 5**

**(a)** Define the term 'corporate social responsibility' and explain the 'triple bottom line'.

*[4 marks]*

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**(b)** Zappo is a publicly listed company which manufactures high quality cleaning products. Rapid business expansion indicates the need to build a new plant and Zappo has applied for planning permission to do so.

Local residents are concerned that the new plant could pose an environmental threat. The residents are worried about Zappo using valuable land resources and also that waste material from the plant will pollute nearby rivers.

Discuss private and public communication strategies that Zappo could use to address community concerns?

*[6 marks]*

**Question 6**

When Joe Jackson owned and ran Joe's Shirt Shack, the company made large profits by offering pay and conditions which were well below the industry award. His daughter, Joanne, has taken over the business and is determined to bring in policies that treat staff in a socially responsible manner.

**(a)** Describe an appropriate change management theory Joanne could use to implement the new policies.

*[4 marks]*

**(b)** Discuss how **two** elements of the Australian socio-cultural environment could be pressuring Joanne to change the policies of Joe's Shirt Shack.

*[2 marks]*

**(c)** Identify **one** financial and **one** non-financial key performance indicator that would measure the performance of Joe's Shirt Shack.

*[2 marks]*

**(d)** Explain how each of the key performance indicators identified in part (c) could be used to improve the performance of Joe's Shirt Shack.

*[2 marks]*

**Question 7**

[Adapted from Tasmanian Qualifications Authority, 2006)]

The financial manager of Strahan Trading and Shipping Pty Ltd is responsible for the maintenance of financial records and planning. She has completed the financial reports for the 1997/98 financial year indicating that actual profit is close to budgeted figures. However, the business' records and cash budget indicate that the company is experiencing a cash flow problem.

**(a)** Explain how it is possible for a business to make a profit and still experience a cash shortage.

*[3 marks]*

**(b)** Explain how a cash budget can assist management in avoiding cash shortages.

*[2 marks]*

The financial manager believes she can resolve the cash flow problems of the business by reducing the hours of two long-serving casual staff during the months June to September.

**(c)** Explain whether this proposed solution is likely to be effective.

*[1 mark]*

**(d)** Discuss two ethical issues involved in this proposed solution.

*[4 marks]*

**END OF SECTION ONE**

## SECTION TWO—EXTENDED RESPONSE *[55 marks]*

This section has **ONE COMPULSORY** question and a choice of **ONE** question from another two questions.

Suggested working time: 80 minutes

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**Question 8 - compulsory**

Assume that the CEO of Crazy John's is about to enter discussions with a company in China to manufacture a new range of mobile phones branded exclusively for Crazy John's.

As an external business consultant for Crazy John's, you are required to draft a letter to the management of Crazy John's explaining the risks and benefits of producing an 'own brand' mobile phone in China.

*[25 marks]*

**Question 9 – do EITHER this question OR Question 10**

Assume Crazy John's is planning to expand to New Zealand.

As the financial manager, you have been asked to prepare a report for the management committee regarding the strategies that would be required if

- the company's marketing objective is to have a 5% market share in New Zealand within three years, and
- the financial objective is to provide an increased return on capital by the end of three years.

The sources of finance being considered are:

- foreign direct investment
- joint venture partnerships
- equity finance.

In your report you should

**(a)** evaluate the sources of finance in relation to the achievement of the stated objectives, and *[25 marks]*

**(b)** provide an executive summary at the end of your report. *[5 marks]*



SEE NEXT PAGE

**Question 10 – do EITHER this question OR Question 9**

The current economic environment is very buoyant and offers excellent opportunities for competitors to enter the retail mobile phone market.

As an external business consultant you are required to

**(a)** write a report to the management of Crazy John's which highlights their competitive advantage and indicates possible threats and opportunities for extending this competitive advantage, and

*[25 marks]*

**(b)** provide an executive summary at the end of your report.

*[5 marks]*



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**YOU MAY USE IT FOR PLANNING**

# ACKNOWLEDGEMENTS

**SECTION ONE**

**Question 7** Adapted from Tasmanian Qualifications Authority. (2006). *Business Studies senior secondary: Tasmanian Certificate of Education: Syllabus supplement* (pp. 39–40, case study 10). Retrieved November, 2007, from http://www.tqa.tas.gov.au/4DCGI/_WWW_doc/007482/RND01/BusStudstasFV2.pdf.



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